

evaders who could still save 25 per cent after paying the commission. For brokerages, this was a far more lucrative business than plain vanilla broking services, which earned them only 0.01-0.25 per cent per trade.

The brokerages used to do this by shuffling the shares between client accounts at the end of the day's trading. Sometimes, when there are too many transactions to be executed, brokers mistakenly enter orders in the wrong client's account. The stock exchanges allowed brokers to rectify such errors by shifting the shares to the correct client account. Over a period of time, brokers began to misuse this concession, shifting trades from one account to another to help clients either evade tax or launder unaccounted money.

SEBI and the tax authorities soon got wind of the game being played, and a penalty was imposed if the proportion of wrong account trades exceeded 5 per cent of the total monthly turnover of the broker. The new rule benefited many individual investors who were otherwise being shortchanged by unscrupulous 'relationship managers'. Many HNIs who subscribed to portfolio management services of broking firms would grant brokers a 'power of attorney' to trade in their accounts and generate profits. The relationship manager, in connivance with the branch head, would sometimes shift some of the profitable trades to another account, and under-declare the profits to the clients. Once the new rule came into effect, the number of 'wrong' client code trades fell dramatically, and tax evaders had to look for another route to dodge the taxman. September fetched another rap on the knuckles for promoters and investors looking to game the system at the expense of small investors. SEBI pulled up seven Indian companies and a handful of 'foreign institutional investors' for trying to manipulate stock prices through GDR issues. GDRs are similar to shares, except that they can only be issued and traded in overseas markets. But the foreign investors holding GDRs can surrender them to the company and request to be issued shares of an equivalent value that can be traded in India. This process is known as 'conversion of GDRs into shares'. From the time the Indian market was thrown open to FIIs in the early 1990s, there was always a premium attached to stocks in which overseas investors had a sizeable stake. The modus operandi for stock manipulation through GDRs went like this: Shady companies would announce GDRs, which shady FIIs would subscribe to. There were operators in Dubai who specialized in such services and had dummy FII accounts, which had subscribed to the GDR